TFSA Guide

Tax-Free Savings Account rules for 2026 · contribution limits · tax implications · what to hold

The TFSA is Canada's most flexible investment account. Growth inside it, whether capital gains, Canadian dividends or interest, is never taxed, and withdrawals are tax-free. You don't report TFSA income on your tax return. Despite the name, it's a full investment account: you can hold ETFs, stocks and dividend payers.

CONTRIBUTION LIMITS 2009–2026

Year(s)	Annual limit	Cumulative total
2009–2012	$5,000 a year	$20,000
2013–2014	$5,500 a year	$31,000
2015	$10,000	$41,000
2016–2018	$5,500 a year	$57,500
2019–2022	$6,000 a year	$81,500
2023	$6,500	$88,000
2024	$7,000	$95,000
2025	$7,000	$102,000
2026	$7,000	$109,000

The cumulative total applies if you were 18 or older and a Canadian resident in 2009. Room starts the year you turn 18, and unused room carries forward with no expiry. Check your exact room in CRA My Account.

TAX IMPLICATIONS

Income type	Inside a TFSA	On your tax return
Capital gains	Tax-free	None
Canadian dividends	Tax-free	None
US and foreign dividends	The 15% US withholding tax is taken before the dividend reaches you and can't be recovered. If you also have an RRSP, US dividend payers belong there.	None
Interest	Tax-free	None
Withdrawals	Tax-free, any time, for any reason	None

KEY RULES

Rule	Detail
Withdrawals restore room	An amount you withdraw in 2026 is added back to your room on January 1, 2027, not right away. Putting it back in 2026 (without other unused room) is an over-contribution.
Over-contribution	The tax is 1% per month on the highest excess amount in each month it stays in the account. CRA sends a TFSA return to file (Form RC243). Withdraw the excess as soon as you notice.
No grace period	The 2026 limit is for contributions made from January 1 to December 31, 2026. Unlike the RRSP, there is no 60-day window.
Not deductible	Unlike an RRSP, TFSA contributions don't lower your taxable income. The benefit is tax-free growth and withdrawals.
No tax slips	You don't get T3, T5 or T5008 slips for TFSA income and you don't report it. Your financial institution reports your contributions and withdrawals to CRA, which is how CRA tracks your room.
Becoming a non-resident	You can keep your TFSA, but contributions made while you're a non-resident are taxed 1% per month until withdrawn.
Successor holder	Name your spouse or common-law partner as successor holder and the TFSA passes to them tax-free, without using their own room.
Gifts to your spouse	You can give your spouse money to contribute to their own TFSA. The income it earns isn't attributed back to you.

WHAT TO HOLD IN A TFSA

Investment	Fit	Why
Growth ETFs (TSE:XEQT, TSE:VGRO, TSE:VFV)	Excellent	High-growth assets benefit most from tax-free status. VFV holds US stocks, so its small dividend still loses 15% to US tax inside the fund.
Canadian dividend ETFs and stocks (TSE:VDY, TSE:HDIV, TSE:ENB)	Good	Canadian dividends are fully tax-free here. Great for passive income.
US dividend stocks (KO, JNJ, XOM)	Avoid	The 15% US withholding can't be recovered in a TFSA. Hold these in an RRSP if you have one.
US-listed ETFs (SPY, VTI, QQQ)	Usually avoid	Same 15% withholding on dividends. Better in an RRSP, where US-listed ETFs are exempt.
GICs and high-interest savings	OK	Interest is tax-free here, but low-return assets use up room that could compound more.
Speculative single stocks	Caution	Losses inside a TFSA can't be claimed against other gains, and lost value means lost room.

Ticker format: Canadian stocks and ETFs need the TSE: prefix (TSE:XEQT); US ones use the ticker only (KO, SPY). See the Complete Setup Guide. This guide is for general education and reflects CRA rules for the 2026 tax year. Rules change. Talk to a tax professional about your situation.

Sources: canada.ca (TFSA contribution room, annual limits, tax on excess TFSA amounts, Form RC243).